professionalized to enable funds to invest in assets that meet the country's infrastructure and economic needs by providing equity support and generate better returns for the subscriber. There is a lot to learn from the way the global pension fund industry has evolved.

We have had a bad precedent in the way exempt funds—establishments that manage their own provident funds—have been treated in the provident fund administration. The focus of the administration is to generate an annual return from investment in debt securities. Exempt funds are subject to the same investment pattern and have to match the returns generated by EPFO. This leaves them no flexibility and long-term/alternate investment choices.

The pension regulator needs to encourage the development of pension fund investment desks in large organizations and a class of professional asset managers that can serve the twin objectives of making good investments in equity and alternative assets and generate decent returns in the medium and long term. This would require reforms in the PFRD Act.

Reforms of the Insurance Industry

The four general insurers in the public sector—one listed and three unlisted—don't serve any great public purpose. These were created by nationalizing private general insurers in the early 1970s. Over twenty-five new private general insurers are in operation now. Private insurers have already taken away about 60 per cent of market share. The government is pumping in more than Rs 12,000 crore of equity in the three general insurance companies—Oriental Insurance, National Insurance and United Insurance—to help them meet their 'solvency ratio'. The total equity invested in these three companies before this decision was taken in financial year 2020–21 was not even Rs 500 crore. Such a large waste of public money needs to be avoided. The solution is simple: privatize these three general insurance companies.